

The Jeffrey-Arnott study concluded that to achieve high after-tax returns, investors need to keep their average annual portfolio ratio somewhere between 0 and 20 percent. What strategies lend themselves best to low turnover rates? One possible approach is a low-turnover index fund. Another is a focus portfolio. “It sounds like premarital counseling advice,” say Jeffrey and Arnott, “namely, to try to build a portfolio that you can live with for a long, long time.”⁵⁹

Before we end this chapter, it is critically important that you think seriously about what exactly a focus investing approach entails:

- Do not approach the market unless you are willing to think about stocks, first and always, as part-ownership interests in businesses.
- Be prepared to diligently study the businesses you own, as well as the companies you compete against, with the idea that no one will know more about your business than you do.
- Do not even start a focus portfolio unless you are willing to invest a minimum of five years (10 years would even be better).
- Never leverage your focus portfolio. An unleveraged focus portfolio will help you reach your goals fast enough. Remember, an unexpected margin call on our capital will likely wreck a well-tuned portfolio.
- Accept the need to acquire the right temperament and personality to become a focus investor.

As a focus investor, your goal is to reach a level of understanding about your business that is unmatched on Wall Street. You may protest that this is unrealistic, but, considering what Wall Street promotes, it may not be as hard as you think. Wall Street sells short-term performance, emphasizing what may happen from quarter to quarter. Business owners, in contrast, are more interested in the long-term competitive advantages of the companies they own. If you are willing to work hard at studying businesses, you will likely get to know, over time, more about the companies whose stocks you own than the average investor, and that is all you need to gain an advantage.

Some investors would rather chatter about “what the market is doing” than bother to read an annual report. But a cocktail conversation about the future direction of the stock market and interest rates will be far less profitable than spending 30 minutes reading the last communication provided by the company in which you are invested.